

We've Got the FACTS: Now What?

We have established some FACTS to consider using the framework just outlined. Where do we go from here? Next, we outline the building blocks of portfolio management, which consist of the following three concepts:

1. Asset Allocation
2. Risk Management
3. Security Selection

Asset Allocation

The father of modern portfolio theory, whom we alluded to earlier in this chapter, was Harry Markowitz, who developed techniques to maximize returns while minimizing risk through portfolio diversification (he won a Nobel Prize for his work in 1990). Modern portfolio theory, as formulated by Markowitz, states that investors should seek to maximize expected returns while minimizing the expected variance of those returns (the tangency portfolio described above). This is achieved through diversification, since investing in asset classes with low covariance results in a lower overall portfolio variance than investing in individual asset classes. Markowitz's ideas have been extensively developed within academia and the world of finance over the past 50 years.

We begin the portfolio investing process by identifying the basic building blocks which can provide diversification. We divide asset classes into three broad categories: (1) equities, (2) real assets, and (3) fixed income investments.

Equities are ownership interests in operating businesses, and provide exposure to earnings growth and dividend income. Real assets are tangible, physical assets whose intrinsic value is related to their utility, which enables them to be exchanged for other products or services. These are real estate and commodities. Real assets may generate cash flow, and have traditionally been viewed as a means of providing protection against inflation. Fixed income relates to investments that generate a return based on stable periodic payments at regular intervals with a return of principal at